VISTA

Valuation Intelligence, Scenario Testing & Approach Selection

PT Darma Henwa Tbk (IDX:DEWA)
Business Valuation midterm methodological report
Valuation reference: 19 October 2026. Financial position: 30 September 2026.

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Conclusion and decision rule

The illustrative base blend is **Rp152.3/share**, -37.1% below the fixed Rp242 reference. The DCF gives Rp79.8 and the peer approach Rp209.1. Confidence is only **34/100**. VISTA therefore labels the academic recommendation **PROVISIONAL AVOID / REDUCE**. This conclusion depends on analyst assumptions and is not a verified target price.

Case	DCF Rp/share	Peer Rp/share	Blend Rp/share
Bear	0.0	175.7	97.9
Base	79.8	209.1	152.3
Bull	255.4	240.7	247.1

Assumed bear/base/bull probabilities of 25%/50%/25% imply Rp162.4/share. These probabilities are judgmental. The market price itself never receives a valuation weight. A value gap above +20% is a buy candidate, below -20% an avoid/reduce signal, and otherwise watch/hold. Confidence below 60 makes every signal provisional.

Scope and valuation perimeter

The core FCFF values recurring mining-services operations. Investments and acquired exploration assets sit outside that operating forecast and enter once through the equity bridge. Exploration value is a recovery scenario of carrying value net of acquisition deferred tax. No mine reserves, production schedule, development budget or reserve-based NAV was supplied. It would be misleading to treat the acquisition accounting gain as recurring cash generation.

All model money is IDR billion. Source statements use IDR thousand, converted by dividing by 1,000,000. Shares are in millions, so value per share equals equity value in billions times 1,000 divided by shares in millions. The model uses a conservative issued-share denominator of 40,687.434244 million, including treasury shares. A current exact net-share count remains a material verification item. [S1-S5]

1. Source hierarchy and historical normalization

The four supplied PDFs are the primary financial evidence. FY2025 consolidated audited statements supply FY2025 and restated FY2024. Corrected Q2 2026 is marked KOREKSI and supersedes the earlier six-month filing. Q3 2026 supplies the latest position and nine-month comparative. All page citations are physical PDF page numbers, including auditor pages. The input register contains 187 values, original units, filenames and page locators. File hashes preserve version identity.

Period	Revenue	Reported net profit	Normalized EBIT
FY2024R	6,032.0	55.2	184.6
FY2025	6,392.8	4,306.8	722.3
Q1YTD2026	1,549.3	92.7	192.7
Q2YTD2026	3,206.1	354.2	407.6
Q3YTD2026	5,102.0	513.1	710.1

Normalized EBIT = revenue - cost of sales - SG&A - final tax. Interest, associates, FX and all other gains/losses are excluded. Starting from operating components avoids subtracting the acquisition gain twice. Normalized EBITDA adds full PPE depreciation plus the separately reported right-of-use depreciation. Using only depreciation in cost of sales would omit administrative depreciation. This operating convention is explicit: some excluded “other” expenses might recur. [S1 p29, p119-120; S2 p18; S3 p20; S4 p18, p46, p50]

FY2025 other income of Rp3,736.813bn comprises a Rp4,535.395bn noncash negative-goodwill gain less receivable writeoffs Rp56.481bn, loss of control Rp82.412bn, inventory writeoffs Rp83.445bn, asset disposal/writeoff losses Rp501.443bn, and residual losses Rp74.800bn. The gain is linked to the GMR acquisition, realized against a prior investment advance. It is neither sales nor cash FCFF. No normalized after-tax net-profit claim is made because item-specific tax effects are not established. [S1 p81, p120]

The FY2024 restatement reduces assets and equity by Rp272.093bn and increases profit by Rp38.889bn. Original and restated values remain separate. The 2026 interim equity statements reclassify Rp2,110.012bn from opening retained earnings into a translation reserve without changing total equity; this is not new income. Q1, Q2 and Q3 are cumulative reports. Standalone Q2 = six months minus Q1, and Q3 = nine months minus six months. [S1 p73-80; S4 p22-23]

2. FCFF, reinvestment and the equity bridge

The starting revenue run rate is nine-month 2026 revenue times 4/3, Rp6,802.686bn. This is an annualization assumption, not FY2026 guidance. The five rolling forecast years end September 2027-2031. End-year discounting is used. The 19-day lag between financial position and market reference is not stub-adjusted. For context, a mixed-period LTM revenue calculation is FY2025 + 9M2026 - 9M2025 = Rp6,844.404bn; VISTA uses the more recent annualized run rate consistently for DCF and relative operating metrics.

Base driver	F1	F2	F3	F4	F5
growth	8.0%	7.0%	6.0%	5.0%	4.0%
margin	14.0%	14.5%	15.0%	15.0%	15.0%
da	15.5%	15.0%	14.5%	14.0%	14.0%
capex	21.0%	20.0%	19.0%	18.0%	17.0%
nwc	12.0%	12.0%	12.0%	12.0%	12.0%

FCFF = EBIT x (1 - 22% normalized tax) + D&A - cash capex - noncash lease capex - change in operating NWC. NWC starts from trade receivables, inventory, prepayments and other current operating assets, less trade payables, accruals, unearned revenue and customer advances. Cash, financing and tax balances are excluded. Future NWC is a sales ratio. All future lease/noncash replacement investment receives an additional 0.5% of sales allowance because lease obligations enter debt.

Base revenue growth tapers from 8% to 4%; EBIT margin rises from 14% to 15%, near the latest normalized margin initially. Cash capex falls from 21% to 17% of revenue. This is an optimistic normalization: FY2025 cash capex was about 24.9% of sales and 9M2026 about 26.3%, while 9M2026 PPE additions were roughly 40.3% of sales. The gap indicates that cash capex alone understates total investment. Forecast capex and the lease allowance must be challenged against financing commitments. [S1 p32; S4 p27, p46]

Nominal IDR WACC is assumed at 16%/14%/12% for bear/base/bull. An illustrative base calibration is 65% equity at 17.3% cost and 35% debt at 9% pretax cost, taxed at 22%: 13.702%, rounded to 14%. Equity cost of 17.3% comprises assumed 6.5% IDR risk-free rate + 1.2 beta x 6.5% equity premium + 3% company risk. These are sensitivity assumptions, not retrieved market estimates. No USD rate is applied to IDR cash flows.

Terminal FCFF = next-year NOPAT x (1 - g/ROIC). Base g = 3.5%, terminal ROIC = 15%. This explicitly funds growth. Terminal value = terminal FCFF/(WACC - g), discounted five years. Inputs require WACC > g and ROIC > g. Base terminal PV is 72.0% of operating EV. The terminal reinvestment convention differs from explicit capex and represents a mature-state assumption, not a forecast fact.

3. Relative valuation and method selection

Peer	EV/EBITDA	Role and comparability limitation
PTRO	12.74x	Contract mining fit, but EPC and offshore mix and high multiple.
MYOH	0.80x	Integrated coal services fit. Net cash and low EV can distort the multiple.
DOID	7.91x	Mining contractor fit. Australia exposure, leverage and losses reduce comparability.
UNIQ	2.76x	Mining and equipment rental fit. Much smaller scale and liquidity.
UNTR	3.73x	Secondary benchmark only: equipment distribution, mining ownership and gold diversify earnings.

The core median is 5.335x for PTRO, MYOH, DOID and UNIQ. No outlier is removed solely because of its valuation. UNTR is excluded by default because its equipment, mining ownership and gold mix differs. Multiples are rounded vendor Current/TTM snapshots, generally tied to 19 October prices; UNTR uses a later snapshot. Lease perimeter, exact earnings endpoints and nonrecurring adjustments are not independently harmonized. These are secondary inputs, not audited peer valuation calculations. The workbook retains vendor EV and price alongside the multiple. [S6-S10]

The median multiplies DEWA normalized annualized nine-month EBITDA, Rp2,073.839bn. This run-rate versus vendor TTM mismatch is a disclosed limitation. The same investment, exploration, cash, debt and NCI bridge applies to both approaches. EV/EBITDA is preferred to reported P/E because acquisition gains distort earnings. Observed market valuation also displays issued-basis market capitalization, EV, EV/EBITDA and price/book, without treating those observed multiples as independent fair-value estimates.

Base equity bridge	IDR bn
Operating DCF EV	5,803.8
Debt-like obligations	-6,276.6
Cash	744.9
Investment recovery	1,269.2
Exploration recovery net of acquisition DTL	1,720.4
Noncontrolling interest	-15.2
Equity value	3,246.5

Debt includes bank loans, finance leases, other borrowings including equipment/lease financing, and related-party debt. Other borrowings are treated as debt-like conservatively. Operating liabilities stay in NWC. The exploration adjustment uses the FY2025 acquisition DTL against current exploration carrying value; it is a scenario convention and needs project-specific tax and funding review. Book NCI is a proxy for fair-value NCI. Negative equity is shown before a zero floor on per-share equity.

4. Suitability, confidence and validation

DCF suitability = 100 x [40% source quality + 30% forecast visibility + 30% explicit-period EV share]. Relative suitability = 100 x [40% peer quality + 30% coverage, capped at four peers + 30%/(1 + coefficient of variation)]. Asset suitability = 100 x [50% source quality + 50% asset observability]. Base judgments are 0.8, 0.4, 0.5 and 0.3 for source, forecast, peer and asset quality respectively. They are transparent analyst choices, not fitted machine-learning outputs.

Base scores are DCF 52.4, relative 67.0, asset 55.0. Only DCF and relative receive weights: 43.9% and 56.1%. Asset suitability is diagnostic because no independent asset NAV exists. Confidence equals weighted method score minus up to 20 points for disagreement and a 10-point unresolved-data penalty. The result is 33.6/100. Method weights and confidence are not evidence of accuracy.

The WACC/g grid spans 10-18% WACC and 2-4% terminal growth. A deterministic 2,000-draw simulation, seed 42, gives DCF P10 Rp26.1, P50 Rp71.4, P90 Rp122.1. 0.0% of draws exceed Rp242. Inputs are independent triangular distributions: WACC 11/14/18%; g 2/3.5/4.5%; margin shift -4/0/+4 percentage points; growth shift -6/0/+6 points; capex shift -2.5/0/+4 points; exploration recovery 0/30/60%. Shifts apply across all forecast years. Percentiles describe the assumed distribution, not statistical confidence intervals.

Validation covers assets = liabilities + equity, gross-profit arithmetic, PBT reconstruction, tax bridge, cash rollforwards, the acquisition-gain bridge, scenario probabilities, EV bridges and approach weights. Fifteen unit tests cover independent FCFF arithmetic, monotonic WACC effects, zero/invalid inputs, share scaling, cash inclusion, no-peer behavior, scenario order, sensitivity base equality, quarter derivation and deterministic simulation. Excel case outputs agree with Python. Excel was recalculated and checked with the authoring engine, not desktop Microsoft Excel.

The source review caught a Q1 associate loss in the prior-year column and corrected it after visual inspection. The blank current-period associate line is treated as nil and PBT reconciles. Remaining verification priorities are exact treasury-adjusted diluted shares, harmonized peer financial statements, lease/vendor-capex commitments, mine economics, investment realizability, related-party terms and debt maturity risk. FY2025 related-party revenue was 95.49%, a material concentration consideration. [S1 p119]

Implementation and use

The package includes a Streamlit interface, a dependency-free Python web interface using the same engine, the formula-driven Excel workbook, source PDFs and a page-level input register. The offline launcher runs locally. Streamlit was installed locally and tested with its AppTest framework: all three scenarios match the engine, WACC and share controls execute, and invalid terminal inputs show validation errors. The engine has 15 passing tests. Excel scenarios and all 25 sensitivity cells match Python. Current app edits export to JSON/CSV; the supplied workbook is independently editable and does not silently synchronize with app changes.

Source register and refresh instructions

S1. FY2025 audited consolidated financial statements
Supplied: PT Darma Henwa Tbk dan Entitas Anak 31 Des 2025.pdf. Key physical PDF pages 26-33, 73-81, 119-120.

S2. Q1 2026 interim
Supplied: FinancialStatement-2026-I-DEWA.pdf. Key pages 18, 46, 50. Current associate line blank; interpreted nil.

S3. Corrected Q2 2026 interim
Supplied: FinancialStatement-2026-II-DEWA.pdf. KOREKSI on p1. Key pages 20, 48, 52.

S4. Q3 2026 interim
Supplied: FinancialStatement-2026-III-DEWA.pdf. Key pages 4-18, 22-32, 46, 50.

S5. Market price and issued shares
https://stockanalysis.com/quote/idx/DEWA/history/

S5b. KSEI securities register
https://web.ksei.co.id/services/registered-securities/shares/lc/DEWA?setLocale=en-US

S6. PTRO valuation snapshot
https://stockanalysis.com/quote/idx/PTRO/financials/ratios/

S7. MYOH valuation snapshot
https://stockanalysis.com/quote/idx/MYOH/financials/ratios/

S8. DOID valuation snapshot
https://stockanalysis.com/quote/idx/DOID/financials/ratios/

S9. UNIQ valuation snapshot
https://stockanalysis.com/quote/idx/UNIQ/financials/ratios/

S10. UNTR valuation snapshot
https://stockanalysis.com/quote/idx/UNTR/financials/ratios/

S11. Bank Indonesia optional FX reference
https://www.bi.go.id/en/statistik/informasi-kurs/transaksi-bi/jisdor/default.aspx

S12. OpenAI model-selection guidance
https://learn.chatgpt.com/docs/models?surface=app

Peer business-fit evidence: Petrosea AGM release 21 April 2025 (petrosea.com); Samindo corporate website (samindoresources.com); BUMA Our Businesses (bumainternational.com/our-business); Ulima Nitra ongoing projects (ulimanitra.co.id/?halaman=ongp); United Tractors quarterly report (unitedtractors.com/en/quarterly-report/). Full URLs are retained in the app input file. Retrieved 21 October 2026.

Refresh sequence

1. Archive new source PDFs and preserve original versus restated figures.
2. Update the source register and units before updating model assumptions.
3. Align stock prices, exact share counts, peer EV and earnings endpoints to one date.
4. Reconcile debt/lease classification and cash-to-accrual capex.
5. Re-run source checks, engine tests, every scenario and sensitivity.
6. Refresh report/deck conclusions and record the new valuation date.

Submission revision and implementation addendum

25 October 2026 | Read together with the original methodology on pages 1-6. The submitted financial inputs, valuation date and Base results remain unchanged.

Updated application workflow

The Streamlit interface now imports a structured JSON model. Inputs, assumptions, formulas and outputs remain separate. model_io.py validates the file before activation. The interface records the last import time in UTC and exports active inputs and results. A user can update financial history and market inputs without rebuilding formulas.

latest_period selects a complete historical snapshot. latest_period_months sets cumulative months of 3, 6, 9 or 12. The annualization factor is 12 divided by those months, and forecast dates roll forward from financial_date. This supports calendar-year cumulative statements. The original FY2025 acquisition evidence remains in the history.

Validation checks required fields, finite values, units, dates, ratios, positive included peer multiples, scenario probabilities and financial reconciliations. Invalid imports leave the current model intact. Source register fields must exist, but arithmetic validation does not prove source accuracy or classification.

Observed market analysis and selection rationale

At the fixed Rp242 reference, issued-share market capitalization is Rp9,846.4bn and observed enterprise value is Rp15,393.3bn. Observed EV / annualized normalized EBITDA is 7.42x, and price / parent book equity is 1.19x. These benchmark metrics do not receive a fair-value weight.

DEWA is a nonfinancial mining contractor with established operations and substantial capital needs. This supports FCFF and contractor peers, while reinvestment, growth and uncertain cash conversion limit DCF visibility. Debt and leases require a firm-value approach followed by an equity bridge. Asset valuation remains a diagnostic because no reserve-based mine NAV is available. Industry judgments inform the scoring inputs; the code is not an automated industry classifier.

Reproducibility and updated checks

The revision passes 24 engine/import tests: the original 15 valuation checks plus nine import checks. Streamlit tests retain Base/Bear/Bull results, WACC direction, share controls and invalid-terminal messages. Import tests cover round-trip equivalence, market-price changes, forecast-date rollover, missing fields, units, nonfinite data, reconciliations, cumulative months and included multiples.

The original 2026 history narrative and supplied Excel/PDF outputs remain fixed snapshots. A later-period import requires a separate review of these narratives and a refresh of published reports. The User Guide documents setup, access, inputs, updates, calculations, exports and limitations.

AI disclosure and deliverable mapping

Tools and tasks

OpenAI ChatGPT and Codex supported data extraction, model design, Python implementation, spreadsheet formulas, validation scripts, interpretation drafts, slide layout and documentation. The work does not claim that a particular unverified model version was selected. No AI API is necessary to run VISTA.

How the AI-assisted work was checked

The development workflow compared extraction with source pages, reconciled financial statement arithmetic, independently recomputed FCFF and equity bridges, compared Excel outputs with Python, and exercised the application. Automated tests establish internal consistency. Source review and realistic assumptions remain necessary.

Corrections and unresolved matters

A Q1 associates figure initially came from the prior-year column. Visual source review corrected it, and PBT reconciled. Removing the public PPTX exposed a file-read dependency; the application now omits PPTX downloads and handles missing documents without crashing. The revised deck addresses the required 12-15 content-slide structure and explicitly discloses AI use.

AI can misread columns, invent explanations or overlook accounting differences. Unresolved share-count, peer-perimeter, financing and mine-economics issues remain disclosed. No claim is made that the forecasts or recommendation have independent professional certification.

Original contribution and accountability

VISTA combines acquisition-gain normalization, adaptive method weights, confidence penalties, scenario analysis, a recoverable-asset bridge and structured data updates in one transparent application. These features distinguish its logic beyond a change in colors or company name. Ariel remains responsible for all submitted calculations, assumptions, sources and conclusions.

Submission structure

Deliverable 1: VISTA_Project.zip provides runnable application source, required dependencies, data, source filings, tests and User Guide. VISTA_Valuation.xlsx supports the audit trail.
Deliverable 2: VISTA_Pitch.pptx contains 15 numbered content slides, plus a cover, references and three appendices. The PDF is an additional reading copy. Public GitHub downloads may remain PDF-only.

The application-based route follows the assignment provision allowing an Excel/VBA engine or another documented calculation engine with equivalent or better functionality. The supporting .xlsx is not presented as a macro-enabled workbook.